

reissued the title, and you can buy it easily at Amazon. (Amazon is a 100-bagger we'll look at in chapter 5, by the way.)

## **Picking Up Where Phelps Left Off**

Phelps's book was a study of 100-baggers from 1932 to 1971. It is not a study of every 100-bagger, because he properly limited his study to cut out the tiniest of stocks. (And I doubt even he had the resources to identify every 100-bagger.) It is also harder to come up with a definitive list than you'd think. There are complications in how you measure returns. (For example, do you measure stock prices annually, quarterly, daily, hourly?)

You get slightly different results each time, as some stocks may have only reached 100 times for a brief period.) Even so, his book lists over 365 stocks. The latest 100-bagger started in 1967 — that's a hundredfold return in just four years. But again, the cutoff is 1971.

I decided to update his study.

I started working with Stephen Jones (String Advisors) to create a database of every 100-bagger from 1962 through 2014 — assuming you'd reinvested the dividends and also making allowances to cut the tiniest stocks. We looked for stocks that had a market cap of greater than \$50 million, in today's dollars, prior to their hundredfold climb. This was a massive undertaking. My publisher spent more than \$50,000 just to get the data.

My goal was and remains simple: I want to find what these stocks have in common. I want to learn how these spectacular returns came about, with an eye toward using those insights in today's market.

My new study would be an update of Phelps's work. I expected to reinforce many things Phelps wrote about. I also believed we'd uncover some new insights, since our computing horsepower vastly exceeds what was available to Phelps.

At the start, too, I wanted to write a new book around the study, to be called *100-Baggers*. I'd dedicate the book to the old man, Phelps.

So here we are.

## **An Everyman's Approach to Huge Profits in Stocks**